

GOVERNMENT OF INDIA
MINISTRY OF FINANCE (DEPARTMENT OF REVENUE)
CENTRAL BOARD OF INDIRECT TAXES AND CUSTOMS

Circular No. 170/02/2022-GST

F. No. CBIC-20001/2/2022-GST

Government of India, Ministry of Finance (Department of Revenue)

Central Board of Indirect Taxes and Customs, GST Policy Wing

New Delhi, dated the 6th July, 2022

Subject: Clarification on taxability of supply of manpower services to Government entities and healthcare institutions -

1. Various representations have been received from trade and industry seeking clarification on the taxability of manpower supply services, particularly in the context of supply made to hospitals, healthcare institutions, and Government entities. The matter has been examined and the following clarifications are issued.

Background

2. Under the GST framework established by the Central Goods and Services Tax Act, 2017, entry 3 of Notification No. 12/2017-Central Tax (Rate) dated 28.06.2017 provides exemption to Pure Services (excluding works contract service or other composite supplies involving supply of any goods) provided to the Central Government, State Government or Union territory or local authority or a Governmental Authority or a Government Entity. The key question raised is whether supply of manpower constitutes a 'pure service' or falls under a composite supply.
3. Entry 74 of Notification No. 12/2017-Central Tax (Rate) exempts services by way of health care services by a clinical establishment, an authorised medical practitioner or para-medics. However, this exemption does not extend automatically to manpower supply agencies who supply staff to hospitals.

Issue 1: Manpower supply to hospitals by a labour contractor

4. Where a manpower supply agency provides housekeeping staff, ward boys, nurses, or other support staff to a hospital or clinical establishment, the following position applies:
 - (a) If the supply is of labour only (pure service), and the manpower agency does not supply any goods along with the manpower, and the output service of the hospital itself is an exempt health care service, the question arose whether the input service of manpower supply could be exempted.
 - (b) The Authority for Advance Ruling, Maharashtra in the matter of Sai Seva Samasthe (AAR/GST/2019/045) held that manpower supply to a hospital for housekeeping and sanitation activities is taxable at 18% GST and is NOT covered under the healthcare exemption, as the exemption is for health care services rendered by medical practitioners and clinical establishments, not for support services supplied to them.
 - (c) The Gujarat AAR in Commissioner vs. Clean Environment (AAR/GJ/2020/012) took a partially different view, holding that if the manpower is exclusively deployed for patient care services under the direct supervision of the hospital, a case could be made for the composite supply doctrine. However, this ruling was subsequently challenged and the applicability remains state-specific.

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5. It is hereby clarified that supply of manpower services (including housekeeping, security, administrative staff, paramedical support) to hospitals and healthcare institutions by a manpower agency is TAXABLE under GST at the rate of 18% (9% CGST + 9% SGST or 18% IGST). Such supply does not qualify for exemption under Notification No. 12/2017-Central Tax (Rate) as amended. The hospital receiving such manpower supply is entitled to take Input Tax Credit (ITC) of the GST paid on such inward supply, subject to the provisions of Section 17(5) of the CGST Act.

Issue 2: Manpower supply to Government-run hospitals

6. Where the hospital is a Government entity (for example, AIIMS, district government hospitals, ESI hospitals), the position is as under:
- (a) Entry 3 of Notification No. 12/2017-Central Tax (Rate) exempts pure services provided to Government entities. A Government hospital is a 'Government Entity' as it is established by the Government and funded substantially by Government grants.
- (b) Accordingly, supply of manpower (pure services, with no goods component) to a Government hospital is EXEMPT from GST under entry 3 of Notification No. 12/2017-Central Tax (Rate).
- (c) However, if the contract involves any supply of goods (cleaning materials, medicines, equipment) along with the manpower, the entire supply becomes a composite supply and the exemption under entry 3 is not available. In such cases, GST at the applicable rate shall be charged on the entire composite supply.
7. The above clarification shall apply with effect from 18.07.2022. Field formations are directed to ensure uniform implementation of this circular. Any advance rulings issued by State AARs that are contrary to this clarification shall be reviewed in light of this circular, and the matter may be referred to the GST Council Secretariat if required.

Applicable Rates Summary

Type of Supply	GST Rate Exemption	
Manpower to private hospital	18%	No
Manpower (pure service) to Govt hospital	Nil	Yes (Entry 3)
Composite supply (goods + manpower)	18%	No
Healthcare by clinical establishment	Nil	Yes (Entry 74)

8. This circular is issued in exercise of the powers conferred by section 168(1) of the Central Goods and Services Tax Act, 2017. Difficulty, if any, in the implementation of the above circular may be brought to the notice of the Board.

Sd/-

(Rohit Kumar Singh)

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Commissioner (GST), CBIC